The Story of Village Palampur

The big idea

Palampur is a hypothetical (imaginary) village used to explain the basic ideas of **production**. Like most Indian villages, its main activity is **farming**, but people also run small manufacturing units, shops, dairies and transport. Looking at Palampur helps us understand what is needed to produce goods and services.

About Palampur

- Well connected with neighbouring villages and towns. **Raiganj**, a big village, is **3 km** away; an all-weather road connects it to **Shahpur**, the nearest small town.
- About **450 families**. About 80 families of **upper castes** own most of the land; their houses are large, made of brick with cement plastering. **SCs (dalits)** make up one-third of the population and live in one corner of the village in much smaller houses of mud and straw.
- Most houses have **electricity**, which powers tubewells and small businesses. There are **two primary schools and one high school**, a **primary health centre** run by the government and a **private dispensary**.

Factors of production

Production of goods and services requires four things:

1. **Land**, and other natural resources such as water, forests and minerals.
2. **Labour**: people who do the work. Some activities need highly educated workers; others need workers who can do manual work.
3. **Physical capital**: the inputs required at every stage of production:

- **Fixed capital**: tools, machines and buildings that can be used for production over **many years** (e.g. farmer's plough, generators, turbines, computers).
- **Working capital**: raw materials and **money in hand**, which are **used up** in production (e.g. yarn for a weaver, clay for a potter, seeds and fertiliser for a farmer).

4. **Human capital**: the **knowledge and enterprise** to put together land, labour and physical capital and produce an output (entrepreneurship).

FIXED VS WORKING CAPITAL

A tractor is **fixed capital** (used for many years). The diesel it uses is **working capital** (used up in one round of production).

Farming in Palampur

Land is fixed. Since **1960** there has been no expansion of land under cultivation in Palampur. All land is cultivated; there is no wasteland. So to grow more, farmers must produce more from the same land.

Ways to increase production:

- **Multiple cropping**: growing more than one crop on a piece of land during the year. This is the **most common way**. Palampur farmers grow three different crops: **jowar and bajra** in the **rainy season (kharif)**; **potato** between October and December; **wheat** in **winter (rabi)**. Part of the land grows **sugarcane**, harvested once a year.
- **Modern farming methods / higher yield**: **yield** is the crop produced on a given piece of land during a single season.

Well-developed irrigation makes multiple cropping possible. Electricity came early to Palampur; **electric-run tubewells** replaced the **Persian wheel** and irrigated much larger areas. By the mid-1970s the entire cultivated area of 200 hectares was irrigated. (Only about **40%** of India's cultivated area is irrigated.)

Green Revolution: in the late 1960s, the Green Revolution introduced Indian farmers to **HYV (high yielding variety) seeds** of wheat and rice. HYV seeds produce much more grain on a single plant but need plenty of water, **chemical fertilisers and pesticides**. Farmers of **Punjab, Haryana and western Uttar Pradesh** were the first to try them. In Palampur, the yield of wheat rose from **1,300 kg per hectare** (traditional seeds) to **3,200 kg per hectare** with HYV seeds. Farmers also used tractors and threshers.

Sustainability: modern farming has overused natural resources. Chemical fertilisers dissolve in water and drain away, polluting groundwater and rivers, and kill bacteria and micro-organisms in the soil, reducing fertility. Continuous use of groundwater for tubewells has lowered the **water table** (e.g. in Punjab and western UP).

Distribution of land: in Palampur, about **150 families** (one-third of 450) are **landless**, mostly dalits. **240 families** cultivate small plots less than **2 hectares** in size. There are **60 families of medium and large farmers** who cultivate more than 2 hectares; a few own over 10 hectares. Land distribution is unequal in India too.

Labour: small farmers and their families cultivate their own fields. Medium and large farmers hire **farm labourers**, who come from landless families or families on small plots. Farm labourers are paid in cash or kind (crops), sometimes meals. **Dala** is a landless farm labourer in Palampur who works for **Rs 160** per day, below the government minimum wage of **Rs 300** per day for a farm labourer. There is heavy competition for work, so labourers accept low wages. **Ramkali**, Dala's neighbour, is also a landless labourer.

Capital: small farmers borrow money from big farmers, village moneylenders or traders who supply inputs, at very high rates of interest. **Savita**, a small farmer, borrowed **Rs 3,000** from **Tejpal Singh**, a large farmer, at **24% interest for four months** and promised to work on his field during harvest for **Rs 100 per day** (a low wage). Medium and large farmers have surplus from farming to arrange capital.

Sale of surplus: small farmers keep a small part of the wheat for the family and have little surplus; medium and large farmers sell surplus wheat in the **Raiganj**

market. **Tejpal Singh** deposits earnings in a bank, lends money to small farmers and buys capital (another tractor, more land).

Non-farm activities in Palampur

Only about **25%** of people working in Palampur are engaged in non-farm activities.

- **Dairy**: people feed buffaloes on grass and jowar/bajra. Milk is sold in Raiganj; two traders from Shahpur have set up collection-cum-chilling centres there.
- **Small-scale manufacturing**: done mostly at home or in fields with family labour, using simple methods; e.g. **Mishrilal** bought a mechanical **sugarcane crushing machine** run on electricity, makes **jaggery** (gur) and sells it to traders in Shahpur.
- **Shopkeepers**: traders buy goods from wholesale markets in cities (rice, wheat, sugar, tea, oil, biscuits, soap, toothpaste, batteries) and sell them in the village. **Kareem** opened a **computer class centre** in the village, employing two women from the village who were trained in Shahpur.
- **Transport**: rickshaw-wallahs, tongawallahs, jeep, tractor, truck drivers and bullock cart drivers carry people and goods. **Kishora**, a farm labourer, bought a buffalo with a loan from a bank under a government scheme and uses his **buffalo cart** to carry goods; he also sells milk.

BOARD FAVOURITE

"What are the factors of production? Explain with examples" and "Why is multiple cropping important?" are very common. Also "Modern farming methods require more inputs; explain" and the environmental effects of the Green Revolution.

Quick recap

- Four factors of production: land, labour, physical capital (fixed and working), human capital.
- Land in Palampur is fixed since 1960; multiple cropping and HYV seeds raised output.
- Green Revolution: HYV seeds, irrigation, fertilisers; wheat yield 1,300 to 3,200 kg/ha; but soil and water damage.
- Land is unequally distributed; small farmers borrow at high interest (Savita); labourers get low wages (Dala).
- Non-farm activities: dairy, small manufacturing (Mishrilal), shops (Kareem), transport (Kishora).

Practice questions

1. Which of these is an example of working capital?
   (a) A tractor (b) A sugarcane crushing machine (c) Seeds and fertilisers (d) A farm building
2. The most common way of increasing production on a given piece of land is
   (a) multiple cropping (b) expanding land under cultivation (c) using the Persian wheel (d) leaving land fallow
3. In Palampur, the yield of wheat with HYV seeds rose to
   (a) 1,300 kg per hectare (b) 2,000 kg per hectare (c) 3,200 kg per hectare (d) 5,000 kg per hectare
4. Knowledge and enterprise needed to put together land, labour and capital is called
   (a) physical capital (b) working capital (c) fixed capital (d) human capital
5. Savita borrowed money from Tejpal Singh at an interest rate of
   (a) 12% for one year (b) 24% for four months (c) 10% for six months (d) 36% for one month
6. Which states were the first to try out the Green Revolution methods?
   (a) Kerala, Tamil Nadu and Karnataka (b) Bihar, Odisha and West Bengal (c) Punjab, Haryana and western Uttar Pradesh (d) Rajasthan, Gujarat and Maharashtra
7. About what share of people working in Palampur are engaged in non-farm activities?
   (a) 75% (b) 50% (c) 60% (d) 25%
8. What are the four factors of production? Explain with examples.
9. How has modern farming affected the environment? Explain.

Answers: 1. c 2. a 3. c 4. d 5. b 6. c 7. d 8. see notes 9. see notes